

Money Mistake: You Don't Know What Kind of Mortgage to Get

THE FIX: CHOOSE PREDICTABILITY OVER VARIABILITY

I don't like variables of any kind. More financial mistakes are made when your future is a mystery. If you opt for a low-interest variable mortgage that has you paying only \$1,000 a month, you're lulled into thinking that you can afford a pricey European vacation because your mortgage payments are so low. Suddenly, when rates shoot up—and they will—you're now paying \$300 more per month on your mortgage. Meanwhile, you had put that vacation on a line of credit, for which you calculated you'd be paying \$400 a month for two years. Then you almost miss a mortgage payment, but you think to transfer a bit of money from your credit card to your checking account, just to cover the line of credit—but just this one time. Then it happens: You get laid off. This is how debt begins. Now your manageable \$1,000-a-month mortgage payment has almost doubled to include debts incurred because you didn't make the requisite financial adjustments. Specifically, you kept spending as if your mortgage would never go up. This was the story heard over and over again during the housing crisis. It always starts small—a missed payment or two coupled with a big purchase that was ill timed. Then comes the unforeseen job loss. Soon, the same bank that convinced you to opt for that low-interest variable mortgage owns your house. Too often, people who opt for a less-expensive variable mortgage plan forget that things may change.

Money Mistake: You Aren't Maximizing Your Mortgage Payments

THE FIX: GET A FIXED MORTGAGE THAT LETS YOU PAY DOWN PRINCIPAL

So you found your dream house, you've negotiated an excellent rate with the bank, and you've booked the movers. Next on the homeowner's agenda is to go to war on your mortgage. You must think like that old millionaire in Minneapolis.